

850 ATMs, and BoB 140. However, ATM alliances haven't really matured, and using another bank's ATM almost always invites a service charge, except for privileged customers.

Other concerns have more to do with the limitations on the ATMs themselves. Kiran Khade is a young businessman who deals in timber, plywood and aluminum, and his bank, Abhudaya Co-op Bank, handles some of his business transactions.

He prefers the ATM to walking into the bank any day, but has a problem—he doesn't like the Rs 10,000-per-day limit imposed on ATM transactions. He points out that if he has to make larger cash payments, he either withdraws over two days or pays a visit into the bank. Indeed, business-related transactions are grossly limited by debit limits on the machines.

However, most banks do score on services offered. Chede regularly uses ATMs to top up his pre-paid mobile phone credit, and hasn't bothered to hop into a store to pick up recharge coupons—he can fill up the amount of his choice at the ATM. Overall, Chede is satisfied with the service he gets, and has also opted for a credit card from the same bank.

What really impresses him about the services is the quick response. Chede has never had credit card bills coming in late, and is gung-ho about banking in India. "It's definitely changed, banks have become so people-friendly today as compared to the old times," he says.

Net money

Internet banking is another place where changing times have made a difference.

Banks appear to be tripping over themselves to give users services over the Internet. The initial level of service provided by banks are, for instance, account checks and



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"I'm satisfied with the kind of banking services that we have at our disposal today—vastly different from the old days"

getting balance statements, cheque book orders, transfers to other accounts and so on. Recently, several banks tied up with billing companies to provide a uniform interface to pay utility bills such as telephone and power bills.

At HDFC's Net banking portal, for instance, you can pay your mobile phone, landline and electricity bills, and also pay your LIC premiums and update your VSNL account. Other features include setting up a Demat account. You can also apply for a

loan by filling up forms online—the bank contacts you for further information.

There are other customer-friendly initiatives as well—for example, the OneView service lets customers having accounts with HDFC, Citibank, ICICI, HSBC, Standard Chartered and Global Trust Bank use a single window mode of access for inspecting their account details. This is an example of the ease of Internet banking, where you can access various accounts across six banks, and side-by-side check out your credit card balance or the balance in your Demat account.

Public sector banks, too, are providing online banking features. For instance, SBI lets you buy railway tickets at the Indian Railways ticketing portal and pay directly through your Net banking account; institutions such as IIT-Madras allow you to pay tuition fees online through an SBI Internet banking account.

Yet there's a fundamental problem with adopting this. A senior MNC bank IT manager pointed out that it's primarily ignorance, and the fear of weak security, that keeps people away from using Net banking. Customers aren't always all that upbeat either—Kiran Khade, for instance, doesn't like the idea of automating bill payments monthly through the bank. "I wouldn't know at what point of time during the month my bank balance goes down to zero", he jokes, and says that he is more comfortable signing cheques instead.

Chede, on the other hand, enthusiastically uses Internet banking facilities such as making drafts. "It is bit more expensive," he says, "but Citibank made it easier for me by despatching the draft where I needed to send it, saving me the time." Raghavan thinks that bill payments are a great idea, and says he'd prefer doing that. It also translates to additional revenues for banks since every transaction done through them benefits the banks financially, and there's not a bank that isn't tomming it.

Calling for cash

Phone banking is as simple as dialling your bank's helpline number, authenticating, and then accessing standard banking functions such as procuring account statements, making fund transfers, and asking for cheque books and drafts. Banks also allow you to set up mobile phone banking. With this, you can set up SMS alerts to make account transactions and enquiries. It's a useful feature that comes out as a

The PSU dilemma

PSU banks have had a two-fold responsibility—one, to maintain their financial health, and the other, to fulfill the social obligation of letting customers bank with them, regardless of the profitability of the business, employing large numbers of people. This has typically meant that PSU banks have been slow in computerising their work process, typically because of their larger customer base and internal staff strength. Owing to social responsibility, PSU banks are forced to maintain unprofitable branches in both

rural and urban areas. An SBI official told us that 70 per cent of the profitable business is conducted by 20 to 30 per cent of the 9,000-odd branches. The flight of customers hasn't helped; now PSU banks are gearing up to provide the same level of retail-banking services that private sector banks provide to keep their customer base intact. It has also meant that at this point of time, large amounts of money (several hundred crores for each bank) are being invested towards consolidating their services.